PRESS RELEASE

New Study Reveals How DAOs Can Protect Their Treasuries From Market Crashes

Simulation research identifies optimal buffer reserves and spending limits for fiscal sustainability

FOR IMMEDIATE RELEASE

Key Findings:

- 10-20% buffer reserves substantially reduce treasury volatility without excessive capital lockup
- Spending limits of 2-5% per period prevent depletion but require override mechanisms
- Emergency "top-up" mechanisms reduce maximum drawdown by 30-40%
- Buffer value is highest during bear markets—exactly when DAOs need protection most

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The Problem: Billions at Risk

DAO treasuries collectively hold over $25 billion in assets. During the 2022 crypto winter, many DAOs saw 80-90% of their treasury value evaporate. Some depleted reserves entirely, unable to fund operations when they needed them most.

Yet treasury management in most DAOs remains ad hoc—no formal reserves, no spending limits, no emergency mechanisms. New research provides the first systematic analysis of treasury policies.

The 10-20% Sweet Spot

Across 300 simulation runs testing different market conditions and policy combinations, a clear pattern emerged: **10-20% buffer reserves provide the best balance of resilience and efficiency.**

Below 10%, treasuries remain dangerously vulnerable to market shocks. Above 20%, additional protection is marginal while capital lockup becomes significant.

Spending Limits: Necessary but Require Flexibility

The simulations showed that spending limits dramatically extend treasury runway—but aggressive limits can create funding backlogs.

Recommended approach: Set base limits calibrated to sustainable burn rate, with explicit override mechanisms for urgent initiatives.

Emergency Mechanisms as Insurance

When buffers are breached, pre-defined emergency protocols make a significant difference:

- **Revenue diversion** is gentler, preserving operational continuity
- **Spending freezes** are more aggressive but restore reserves faster

Both approaches reduce maximum drawdown by 30-40% compared to having no emergency mechanism.

Practical Recommendations

1. **Establish explicit buffer policy:** Target 15-20% of treasury as reserve
2. **Set spending limits:** Cap periodic outflows at sustainable burn rate
3. **Define emergency triggers:** Activate when buffer falls below 50% of target
4. **Diversify holdings:** Reduce native token concentration
5. **Monitor and adapt:** Track volatility, drawdown, and runway

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Paper: "Treasury Resilience in Decentralized Autonomous Organizations"

Code: https://github.com/imgntn/dao_simulator

This research was conducted independently and is released to advance the field of decentralized governance.